Content

Open guidance

Setting the stage for gap analysis

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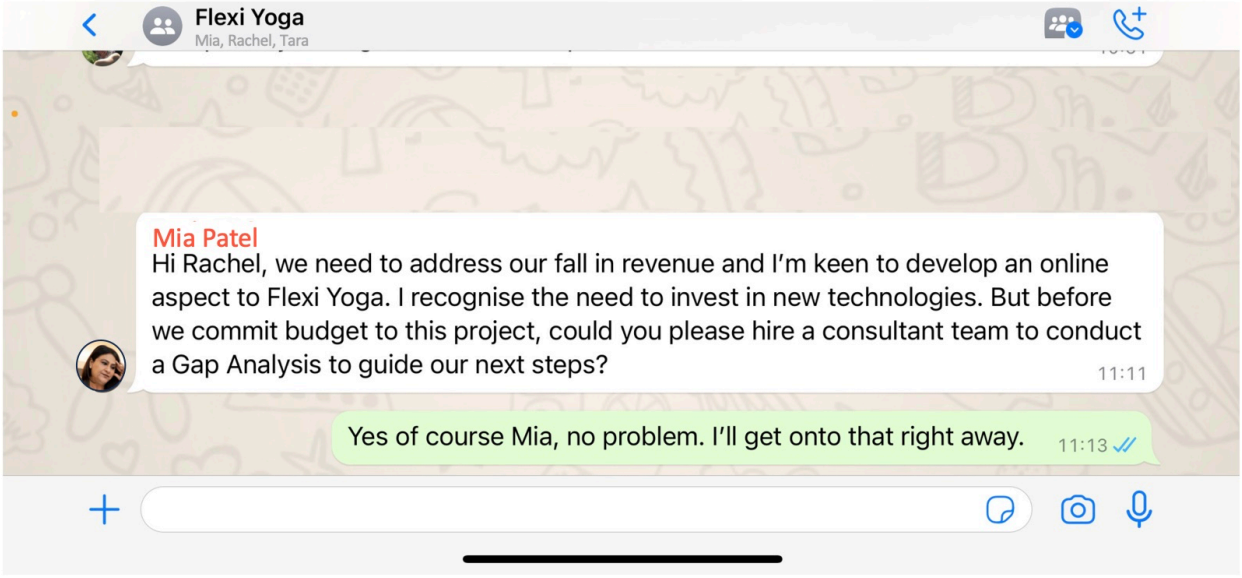
Gap analysis can only be successful and yield valuable insights if it's informed by the right information.

To illustrate this point, you'll explore the approach a company called Flexi Yoga is taking to address its current problems.

As you review this scenario, consider what information is needed to start analysing the gaps in current processes.

Welcome to Flexi Yoga

Mia Patel is the Project Manager at a company called Flexi Yoga. She's been working with her Product Manager, Rachel Jansen, to tackle the problem of falling revenue.



Tara, a Business Analyst, has been hired for a short-term contract at Flexi Yoga. Mia is her contact, and she's invited Tara to a kick-off meeting.

"Hello Tara, it's great to finally meet you in person.

Let me start by giving you some context about Flexi Yoga. We're a yoga business that currently owns and runs 15 physical yoga studios. We were founded over a decade ago, and provide yoga classes for all abilities. It's a popular business, and our instructors are well thought of due to their many international qualifications and recommendations. Flexi Yoga is known for its hot yoga classes in beautiful locations with good music and high energy.

During the pandemic, we started offering online classes to keep the business up and running, and our instructors began teaching classes at home. We got feedback from clients that it was hard to see and hear the instructors. We used background music to set the tone of a session, but customers complained that it was hard to hear the instructor over the music. This led many instructors to give up on using music, which changed the whole experience for the worse. The classes lost their unique high-energy vibe that brought in many of our customers.

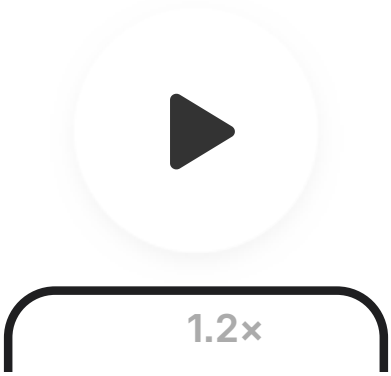
At the same time, we noticed that many local competitors started offering virtual yoga classes with high-tech options that allowed instructors to play music while they were teaching. This meant customers could see into the studio, making them feel as if they were there. However, due to financial restraints, Flexi Yoga remained low-tech.

When clients started returning to our studios after the pandemic, we stopped offering virtual classes rather than offering hybrid models. However, this has caused many previously loyal customers to join our competitors' classes because they like the option of being able to join classes remotely. This has negatively impacted our business, and our revenue is down 50% from a year ago."

Now, listen to the initial meeting between Rachel, the Product Manager, and Tara.

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5 min



Read transcript

Rachel (Product Manager): Morning Tara, it was great to finally meet you in person last week. As I mentioned when we spoke at last week's project kick-off meeting, revenue at Flexi Yoga has taken a hit and is down 50% year on year. We can't sustain this for much longer, and we quickly need to clarify the problem, identify relevant stakeholders, and develop some ideas. What are your initial thoughts?

Tara (Business Analyst): Hello again Rachel, and thanks again for your time last week. So my takeaways from the kickoff meeting were that your virtual classes during the pandemic were not as sophisticated as your competitors'. You believe this contributed significantly to a reduction in customer numbers, and a 50% drop in revenue. You have an idea that you'd like to develop the online aspect of your business, and you need help in making this a reality. Could you start by giving me an idea of the ideal future state of Flexi-Yoga? What does a successful project look like to you?

Rachel (Product Manager): Okay, no problem. In my opinion, the future of Flexi Yoga looks like a seamless blend of on-site and virtual classes, where our customers can join the same class either in-person or online. We would have a strong online presence resulting from our innovative technology and high customer satisfaction, and this would deliver revenue over and above pre-pandemic levels. Flexi Yoga would be seen as a market leader by providing a flexible, affordable and dynamic yoga experience. Does that help?

Tara (Business Analyst): Thank you, yes, that's super helpful. So the first

thing we need to do is clearly define the gap between the current and ideal future state of Flexi Yoga. We're going to do this by conducting a comprehensive gap analysis, which focuses on four key areas: performance, product, people, and profit. If we start with performance, we can see that your virtual classes suffered due to inadequate technology. The less-than-adequate audio and video quality didn't deliver a great customer experience, and this caused clients to look elsewhere.

Rachel (Product Manager): Yes, I agree—performance is a clear gap. And what about product—what does the gap look like there?

Tara (Business Analyst): Well, it appears that your competitors offered high-tech virtual options that were more effective at meeting customers' needs. So there's a gap between what your customers demanded from virtual yoga classes, and what you provided.

Rachel (Product Manager): Okay, got it. If we move on to people, what can you tell us about our workforce based on what you've found out? Do our instructors have the skills required to deliver virtual classes?

Tara (Business Analyst): It seems that your instructors adapted to virtual teaching, but they lacked the digital skills required to deliver quality online classes. If you're going to become a market leader, we'll need to bridge this skills gap so your instructors can deliver a competitive virtual experience.

Rachel (Product Manager): That sounds good to me. And finally, let's talk about profit. What is the situation regarding our revenue?

Tara (Business Analyst): So your profit is down 50% from your target due to the reduction in customer numbers. We need to re-evaluate your strategy to ensure your goals and KPIs will deliver the profitability you need.

Rachel (Product Manager): Okay, so let me see if I've got this right. Your gap analysis indicates poor performance in virtual classes, unmet demand, a skills gap, and a shortfall in profits. How quickly do you think we can get started on building our new online product?

Tara (Business Analyst): So first, we'll need to estimate the costs of acquiring or developing a suitable technology platform for delivering online yoga classes. Then we'll need to project the potential revenue from virtual

classes within a given timeframe, and assess the ROI. We'll also need to gather feedback from customers to refine the solution and ensure that what we build meets and exceeds their expectation.

Rachel (Product Manager): Ok, it sounds like we have a lot of work to do. If you're happy to deliver a more detailed analysis in these areas, I'll update Mia, the Project Manager, and schedule a follow-up call next week to determine next steps.

Tara (Business Analyst): Thanks Rachel, I appreciate your support in taking this forward. Let's catch up next week.

Let's return to our original question: **what information is needed to start analysing and addressing gaps in Flexi Yoga's current processes?**

1) Thorough understanding of the current state and its most pressing problem(s)

Tara's investigation reveals the current state of Flexi Yoga:

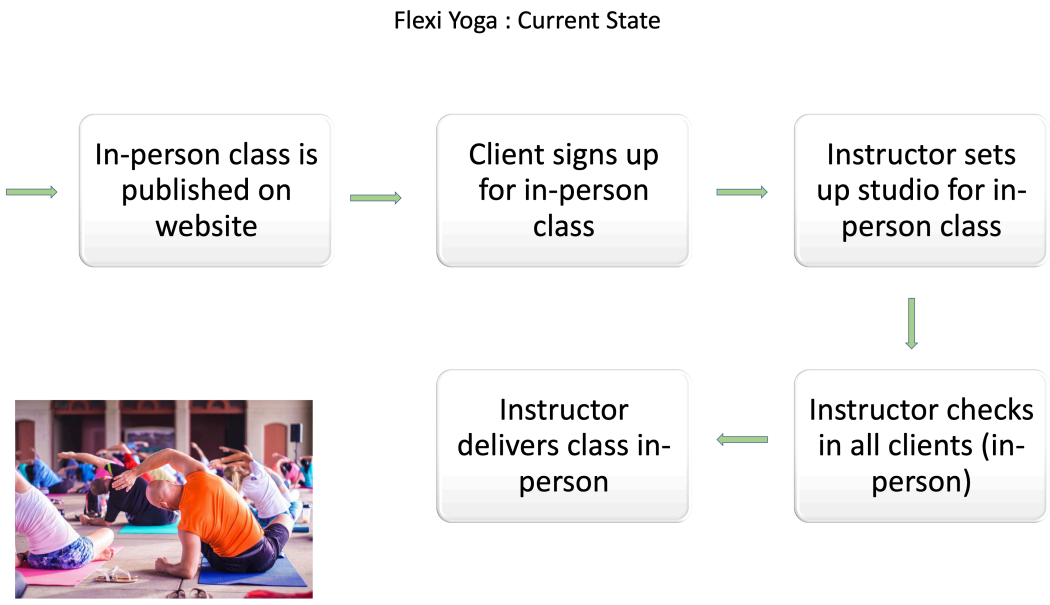
1. **Client base**: The studio has an average footfall of 100 students per day. They have a strong local community presence with 2,000 active members.
2. **Operating hours**: They hold two classes per day in the mornings and evenings, seven days a week, with each class accommodating a maximum of 25 students.
3. **Class sign up**: Currently, the class sign-up process is manual, via phone calls or in-person visits to the studio. On average, they receive around 70 calls and an equal number of visits for class scheduling per day.
4. **Class attendance**: Approximately 80% of booked classes are attended —leading to a high no-show rate of 20%.
5. **Revenue**: Revenue relies entirely on memberships and physical walk-

ins. Monthly they bring in approximately £10,000.

6. **Staff**: They currently have 10 certified yoga instructors on contract who handle all classes.

Given that the most pressing problem involves the operations for running online yoga classes, Tara created the **process model** below to depict the current state process for engaging in an online yoga class. The process includes:

1. In-person class is published on website
2. Client signs up for in-person class
3. Instructor sets up studio for in-person class
4. Instructor checks in all clients (in person)
5. Instructor delivers class in-person



2) Requirements and goals for the future state model

Clients of Flexi Yoga studio have become accustomed to high-tech, virtual options for yoga classes along with traditional in-person classes. Flexi yoga offered virtual classes during the pandemic, but they were low-tech and the quality of the classes were poor.

When restrictions began to loosen, Flexi yoga dropped the virtual option all together. Many clients have gone to competitors who offer a hybrid model of in-person and high-tech online classes and revenue has decreased Year on Year (YOY) over the last two years.

The goal is to bring back lost clients—both to in-person AND virtual classes—and increase revenue 10% from pre-pandemic levels.

After consulting current and former clients, and doing an analysis of their competitors' offerings, Tara gathered the following requirements for the future state of Flexi Yoga:

- **Class format**: The future state requires variety in how classes are delivered, incorporating both in-person and digital options.
- **Staff efficiency**: The future state needs yoga instructors to be capable of managing both in-person and online classes, with proficiency in digital tools for class management.
- **Infrastructure**: The future state requires the existence of a robust infrastructure capable of supporting live-streaming and recording of classes, along with necessary online services for scheduling and payment processing.

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